Legal Due Diligence Checklist for Karachi Real Estate Transactions

1. Essential Verification Documents for Property Buyers

Before executing any sale agreement or paying advance money in Karachi, verify the following documents:

1. **Title Deed / Sale Deed (Deed of Conveyance):** Registered at the Sub-Registrar Office with volume and page numbers clearly listed.

2. **Allotment Letter / Transfer Letter:** Issued by the respective authority (KDA, MDA, DHA, or Cooperative Housing Society).

3. **Approved Building Plan:** Must be officially stamped and approved by SBCA (Sindh Building Control Authority) for built structures and multi-story apartments.

4. **NOC for Sale (No Objection Certificate):** Issued by the relevant housing authority confirming no pending dues, litigation, or encumbrances.

5. **Completion Certificate:** Issued by SBCA for constructed properties to verify structural safety and compliance with bylaws.

6. **Non-Encumbrance Certificate (NEC):** Obtained from the Sub-Registrar Office confirming the property is free from mortgages, bank liens, or legal disputes.

2. Red Flags & Legal Pitfalls to Avoid

- **Lease Expiry / Non-Leased Land:** Properties on 99-year leases must have clear lease renewal status. Avoid purchasing agricultural or Katchi Abadi land without formal regularisation.

- **Unapproved Floors:** Extra floors added without SBCA approval face demolition risks and utility connection refusals.

- **Power of Attorney (POA) Transactions:** Transactions conducted via General Power of Attorney (GPA) require strict verification of the original owner's life status and validation at the Sub-Registrar office.

- **Stay Orders & Litigation:** Always verify property records against local court stay orders in civil courts or Sindh High Court.

3. Utility & Tax Clearance Verification

Ensure seller produces verified paid bills and clearance certificates for:

- **K-Electric (KE):** Check for outstanding electricity dues or detection bills.

- **Sui Southern Gas Company (SSGC):** Gas connection clearance.

- **Karachi Water & Sewerage Corporation (KWSC):** Water and sewerage bill clearance.

- **Property Tax (Sindh Excise & Taxation Department):** Paid annual property tax receipts up to the current fiscal year.